Exact-2SLS-sample first stage: successor year + 1

Successor attribute	Instrument coefficient (SE)	Excluded-IV F	Observations
From release pool	0.009*** (0.003)	7.230	1,212
Big 4 background	0.221 (0.268)	0.680	1,212
Zero prior failure	0.076** (0.030)	6.300	784
Zero prior restatement	0.012 (0.068)	0.0307	790
Zero prior violation	0.096** (0.038)	6.371	784

Notes: The three audit-failure outcomes have identical first-stage estimates within each horizon; one copy is shown. Audit-firm and rotation-year fixed effects; firm controls supplied as lagged panel values; standard errors clustered by audit firm.